EXERCISE 7

NV42UF

I. Choose the best answer.

1. An overall tendency of rise or fall in a time series is called
   (a) seasonal variation (b) secular trend
   (c) cyclical variation (d) irregular variation

2. The component having primary use for short-term forecasting is
   (a) cyclical variation (b) irregular variation
   (c) seasonal variation (d) trend

3. Cyclical movements are due to
   (a) ratio to trend (b) seasonal
   (c) trend (d) trade cycle

4. Data on annual turnover of a company over a period of ten years can be represented by a
   (a) a time series (b) an index number
   (c) a parameter (d) a statistic

5. The component having primary use for long term forecasting is
   (a) cyclical variation (b) irregular variation
   (c) seasonal variation (d) trend

6. A time series is a set of data recorded
   (a) periodically (b) at equal time intervals
   (c) at successive points of time (d) all the above

7. A time series consists of
   (a) two components (b) three components
   (c) four components (d) five components

8. Irregular variation in a time series can be due to
   (a) trend variations (b) seasonal variations
   (c) cyclical variations (d) unpredictable causes

9. The terms prosperity, recession, depression and recovery are in particular attached to
   (a) secular trend (b) seasonal fluctuation
   (c) cyclical movements (d) irregular variation

10. An additive model of time series with components, T, S, C and I is
    (a) $Y = T \times S \times C \times I$ (b) $Y = T + S + C + I$
    (c) $Y = T \times S + C \times I$ (d) $Y = T \times S \times C + I$

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